Client Map / Commercial Wedge

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Idea 1 — Natural Client Map & Commercial Wedge

Purpose: Define who buys what, why they buy it, what constraints block them, and how the BTC Vol Desk should sequence go-to-market.

Strategic reminder: The business should not lead as a generic BTC options-arbitrage fund. It should lead as a treasury/miner/institutional risk-transformation platform, using the cross-venue vol monitor as pricing and hedge intelligence.

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1. Client hierarchy

Priority 1: BTC treasury companies

Why first:

- Cleanest commercial story.
- Direct pain: large BTC holdings, public-market volatility, capital raises, preferred/convert obligations, dilution optics.
- Product is board-understandable: covered calls, collars, put spreads.
- Does not require clients to understand cross-venue vol arbitrage.

Core product:

- Board-approved covered-call program on a defined BTC/ETF tranche.
- Zero-cost or low-cost collar to protect treasury floor.
- Put-spread financed by call spread when outright puts are too expensive.

Likely decision makers:

- CEO/founder/executive chair
- CFO/treasurer
- board investment/risk/audit committee
- capital markets lead
- general counsel
- IR, for narrative framing

Pain points:

- Repeated equity/convert issuance.
- Preferred dividends, coupon/refi needs, operating runway.
- BTC NAV premium/discount volatility.

- Shareholder concern around dilution.
- Need to avoid selling core BTC while still funding operations.

Constraints:

- Many are explicitly bullish BTC and may resist selling upside.
- Derivatives need board policy, auditor comfort, valuation controls, disclosure discipline, and collateral/custody controls.
- Covered calls can conflict with "maximize BTC per share" narratives unless sized carefully.

Correct hook:

> Monetize a capped, board-approved slice of BTC convexity to fund obligations or reduce dilution, while preserving strategic BTC ownership and adding downside disaster protection.

Public examples / targets:

- Strategy / MicroStrategy
- Metaplanet
- Twenty One Capital / Cantor Equity Partners
- Semler Scientific
- KULR Technology
- The Blockchain Group / Capital B
- BTC-heavy miners with treasury strategies: MARA, Riot, CleanSpark, Hut 8

Do not pitch:

> You should hedge because BTC may go down.

Do pitch:

> A treasury policy that converts a small, defined slice of volatility into recurring income or a drawdown floor without compromising the long-term BTC thesis.

Priority 2: Bitcoin miners

Why second:

- Miners are structurally long BTC production but owe fiat liabilities.
- They have recurring power, lease, debt, ASIC, and site capex obligations.
- Their business risk is not just BTC price; it is BTC price minus power/hashprice/capex timing.

Core product:

- Rolling production collars.
- Put-spread protection on expected production.
- Treasury BTC collar on 10–30% of inventory.
- Capex-window downside floor.
- LTV/collateral protection around BTC-backed loans.

Likely decision makers:

- CFO/treasurer
- CEO
- head of energy/power strategy
- corporate development/project finance lead
- board risk/audit committee
- lenders or PE sponsor for private miners

Pain points:

- Power costs and curtailment volatility.
- ASIC/site capex timing.
- Halving/hashprice compression.
- Debt/refinancing/convert pressure.
- Need to preserve equity upside while avoiding forced spot sales.

Constraints:

- Production volume is uncertain; do not overhedge hashrate targets.
- BTC may already be pledged to lenders.
- Debt covenants may restrict derivatives/collateral.
- Shareholders often want upside BTC beta.
- Hedge accounting/disclosure complexity.

Correct hook:

> Protect the cash-flow runway for power, capex, and debt service by collaring a conservative slice of expected production or unencumbered BTC inventory, while leaving most upside intact.

Public examples / targets:

- MARA
- Riot
- CleanSpark
- Cipher
- TeraWulf
- IREN
- Core Scientific
- Hut 8
- Bitfarms
- Bitdeer

Most likely first product:

- 3–6 month production put spread or zero-cost collar sized to conservative production, not full expected production.

Priority 3: RIAs, family offices, and wealth platforms

Why third:

- They hold ETF exposure and need income/downside framing.
- ETF options fit existing brokerage/wealth workflows.
- They are natural buyers of simple defined-outcome products.

Core product:

- IBIT/spot BTC ETF covered-call overlays.
- Protective collars.
- Defined-loss call spreads.
- Put-spread collars.
- Option-income SMA/strategy model.

Likely decision makers:

- CIO
- investment committee
- alternatives/digital-assets lead
- portfolio manager
- platform due diligence / product committee

Pain points:

- BTC allocation is hard to hold through drawdowns.
- Clients want income and defined downside.
- Advisors need simple language and operationally familiar securities wrappers.
- Custody/wallet complexity is unacceptable for many.

Constraints:

- Options approval/suitability.
- Platform restrictions.
- Tax treatment.
- Position limits and liquidity.
- Need scenario analysis versus unhedged ETF.

Correct hook:

> Add a volatility overlay to BTC ETF exposure without changing custody or introducing crypto exchange operations.

Best venue:

- ETF options first.
- CME for more sophisticated overlay accounts.
- OTC notes if platform-approved.
- Deribit usually unsuitable for US wealth unless offshore/eligible and compliance-approved.

Priority 4: Hedge funds / macro / relative-value funds

Why fourth:

- They understand cross-venue vol and can underwrite relative-value trades.
- But they are competitive and less sticky than treasury/miner clients.

Core product:

- ETF vs Deribit vol spreads.
- CME vs Deribit basis/vol packages.
- Skew/risk-reversal trades.
- Calendar trades.
- Event-vol packages.
- RFQ sourcing and analytics.

Likely decision makers:

- PM
- volatility trader
- CIO
- COO/legal for venue approval

Pain points:

- Need clean normalized surfaces.
- Need execution/liquidity proof.
- Need margin/collateral-adjusted edge.
- Need cross-venue basis risk quantified.

Constraints:

- They can build part of this themselves.
- Need strong proof and executable size.
- Deribit/CME/ETF venue access may vary by mandate.

Correct hook:

> We normalize ETF, CME, Deribit, and OTC BTC vol into one margin- and wrapper-adjusted surface, then identify executable packages rather than naive IV gaps.

Priority 5: Structured-product desks / private banks / product issuers

Why later:

- Potentially large economics.
- Highest legal/product-approval complexity.

Core product:

- BTC-linked reverse convertibles.
- Autocallables.
- Buffered notes.
- Principal-protected notes with BTC call exposure.
- Income notes backed by covered-call strategy.

Likely decision makers:

- structured products desk
- product approval committee
- legal/compliance
- issuer risk management
- distributor due diligence

Pain points:

- Clients want BTC-linked yield/upside with defined terms.
- Distribution channels need productized payoffs.
- Issuers need hedge-source transparency.

Constraints:

- Suitability/distribution rules.
- Prospectus/KID/risk factors.
- Issuer credit/CVA.
- Secondary valuation.
- Complex hedge governance.

Correct hook:

> Provide hedge-source transparency and BTC vol intelligence for defined-outcome BTC products.

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2. Venue fit by client

ETF options

Best for:

- RIAs
- family offices
- ETF holders
- public-company treasuries that hold ETF shares
- covered-call products

Why:

- Existing securities account workflow.

- OCC-cleared listed options.
- No wallet/custody change.
- Easier governance for US wealth and securities-oriented clients.

Main frictions:

- US market hours.
- Position limits.
- Assignment/exercise mechanics.
- ETF wrapper and tracking/NAV issues.
- Need OPRA-grade data for production.

CME

Best for:

- institutional funds
- pensions/endowments with futures mandates
- miners/treasuries that prefer regulated derivatives
- macro/RV funds

Why:

- CFTC-regulated, centrally cleared futures/options route.
- FCM margin/risk systems.
- Institutional comfort.

Main frictions:

- Futures basis/roll.
- FCM onboarding.
- Margin/collateral needs.
- Contract size.
- Licensed data access.

Deribit

Best for:

- crypto-native funds
- non-US sophisticated clients
- market makers
- internal hedge/recycle venue if legally/operationally permitted

Why:

- Deep BTC option surface.
- 24/7 market.
- Broad strikes/expiries.

- Often best crypto-native vol reference.

Main frictions:

- Jurisdiction restrictions.
- Offshore venue/counterparty risk.
- Collateral/custody governance.
- Not appropriate for many US public/wealth clients.

OTC/RFQ

Best for:

- treasuries
- miners
- family offices
- structured-product desks
- large bespoke trades

Why:

- Custom payoff, tenor, notional, collateral, and settlement.
- Can hide operational complexity from client.
- Allows board-friendly term sheets.

Main frictions:

- Counterparty credit.
- ISDA/CSA/legal onboarding.
- Valuation governance.
- Quote transparency.
- Must be quote-verified.

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3. Product-client matrix

Treasury covered call

Best clients:

- BTC treasury companies
- operating companies with BTC reserves
- wealth platforms with ETF holdings

Revenue source:

- structuring fee
- execution spread/commission
- advisory retainer

- later: principal/risk spread if legally approved

Proof needed:

- Premium/yield scenarios.
- Upside opportunity-cost scenarios.
- Board policy language.
- Collateral/custody workflow.
- Independent mark methodology.

Treasury collar / downside floor

Best clients:

- BTC treasuries with debt/preferred obligations
- miners with capex/debt windows
- family offices with drawdown limits

Revenue source:

- structuring + execution fee
- RFQ spread
- risk recycling across venues

Proof needed:

- Protected level.
- Upside cap.
- Cost/premium.
- Stress test vs unhedged BTC.
- Covenant/runway impact.

Miner production hedge

Best clients:

- public/private miners
- capex-heavy miners
- debt-financed miners
- miners with BTC-backed loans

Revenue source:

- advisory/structuring fee
- recurring hedge execution
- monitoring/reporting retainer

Proof needed:

- Conservative production forecast.
- Hedge ratio policy.

- Power/hashprice sensitivity.
- Overhedging controls.
- Lender/covenant review.

Cross-venue vol spread package

Best clients:

- hedge funds
- macro/RV funds
- market makers
- internal prop sleeve

Revenue source:

- research/analytics subscription
- execution/RFQ commission
- principal spread if risk-taking

Proof needed:

- Trade-verified dislocations.
- Net edge after fees/margin/collateral.
- Capacity.
- Stress/basis risk.
- Historical recurrence.

Structured note / defined outcome

Best clients:

- private banks
- structured-product distributors
- family offices
- RIAs if platform-approved

Revenue source:

- structuring margin
- hedge spread
- distribution economics

Proof needed:

- issuer/legal wrapper.
- suitability and disclosure.
- valuation agent.
- secondary market process.
- hedge-source transparency.

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4. Commercial sequencing

Wedge A — board-ready BTC treasury overlay

First 30-day target:

- produce sample board package for a hypothetical BTC treasury with 10,000 BTC.
- structures:
- 10% covered-call sleeve
- 3-month zero-cost collar
- 6-month put-spread financed by call spread
- use live screen data for indicative pricing but label screen-only.
- add legal/accounting/custody checklist.

Why this wedge wins:

- The buyer understands the problem.
- The product is commercially clear.
- It creates recurring monitoring and execution needs.
- It avoids leading with hard-to-prove arbitrage.

Wedge B — miner runway hedge

First 30-day target:

- produce sample hedge for a miner with expected 3-month production.
- structure:
- protect 25–50% of conservative expected production.
- use put spread/collar, not full forward sale.
- show cash-flow runway impact.

Why second:

- Strong natural risk need.
- More complex due to production uncertainty and power/hashprice variables.

Wedge C — RV fund dislocation monitor

First 30-day target:

- daily screen-only dislocation board.
- then collect quote verification for top candidates.
- only after quote verification should this become an investor-facing return thesis.

Why third:

- Useful as internal edge.

- But pure RV clients are harder to own and easier to compete with.

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5. First outreach hooks

BTC treasury CEO / executive chair

> You can preserve the long-term BTC accumulation story while letting a board-approved minority tranche generate premium income or finance downside protection. The goal is not to become bearish; it is to reduce dilution and create a treasury policy around volatility monetization.

BTC treasury CFO / treasurer

> We map BTC holdings, obligations, and liquidity needs into a permitted-instruments policy: how much BTC can be encumbered, what maturities match coupons/capex/runway, how marks are sourced, how collateral is controlled, and what gets disclosed.

Miner CFO

> Instead of selling spot BTC reactively to fund power/capex, hedge a conservative slice of expected production with collars or put spreads. The goal is budget certainty without giving up the majority of upside.

RIA / family office CIO

> Keep BTC exposure inside the ETF/securities workflow but add a defined options overlay: income, downside budget, or capped-upside structures. No crypto exchange operations required.

Hedge fund PM

> We are not comparing naive IV screens. We normalize ETF, CME, Deribit, and OTC wrappers for basis, margin, collateral, bid/ask, and executable size, then label opportunities by quote/trade confidence.

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6. Qualification checklist before showing terms

Exposure

- BTC held directly, through ETF, through futures, or through production?
- How much is unencumbered?
- Is BTC pledged to lenders or custody-restricted?
- What is expected monthly production, if miner?

Objective

- Income?
- Downside floor?
- Financing/capex runway?

• Debt/covenant protection?

• Defined-outcome product for investors?

Constraints

• Derivatives permitted?

• Venue restrictions: ETF options, CME, OTC, Deribit?

• Collateral currency and custody limits?

• Position limits?

• Board/auditor/lender approvals?

Risk tolerance

• Maximum upside cap acceptable?

• Maximum premium spend?

• Maximum BTC encumbrance percentage?

• Stress loss tolerance?

• Disclosure sensitivity?

Operations

• Broker/FCM/prime broker/OTC counterparty access?

• ISDA/CSA in place?

• Independent valuation source?

• Daily margin reporting capacity?

• Who approves trades?

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7. Go-to-market conclusion

The first commercial wedge should be:

> Board-ready BTC treasury covered-call/collar policies for public BTC treasury companies and BTC-heavy miners.

The second should be:

> Miner production and runway hedging.

The analytics engine should remain the proprietary internal advantage:

> Cross-venue ETF / CME / Deribit / OTC vol normalization used to price, hedge, and risk-manage client structures.

Only after quote verification should the memo emphasize proprietary cross-venue arbitrage economics.